

PRODUCT REQUIREMENTS DOCUMENT

GSTEase

Automated GST Compliance & Invoicing SaaS

For Indian Freelancers, Solopreneurs & Small Businesses (under ₹5–10 Cr turnover)

Version	v1.0 — Initial Release
Date	May 2026
Audience	Product, Engineering, Design, Business
Status	Draft — For Internal Review

1. Executive Summary

GSTEase is a web-based SaaS platform built specifically for the bottom of India's GST taxpayer pyramid — the freelancers, solopreneurs, and small businesses who lack the resources to hire a CA or an accountant but still face the same compliance obligations as larger firms. These users are currently underserved. Existing tools like ClearTax, Zoho Books, and Tally are either too expensive, too complex, or built for accounting teams — not a single-person business.

GSTEase compresses a typically multi-step, error-prone compliance workflow into a guided, automated experience. The product does not try to be a full accounting suite. It focuses exclusively on the GST layer: invoicing, ITC reconciliation, return filing, liability calculation, and payment tracking. Everything else is out of scope by design.

1.1 Problem Statement

The core pain is not lack of awareness — it is operational friction. A freelancer registered under GST must:

- Generate GST-compliant invoices manually (often in Excel or Word)
- Track ITC credits from GSTR-2B monthly, reconcile against their own purchase records
- File GSTR-1 (outward supplies) and GSTR-3B (summary return) every month without errors
- Calculate their net tax liability after ITC offset
- Respond to GST notices — often triggered by mismatches they did not catch

Each of these steps requires either CA involvement (₹2,000–₹10,000/month) or significant time investment with a high risk of notices and penalties. There is no affordable, guided tool that handles the full flow end-to-end.

1.2 Proposed Solution

GSTEase solves this by providing:

- One-click GST invoicing with auto IRN generation and e-invoice compliance
- Automated ITC reconciliation pulling directly from IMS/GSTR-2B
- Guided GSTR-1 and GSTR-3B filing with pre-validation and error preview
- Real-time GST liability calculator with payment reminders
- Integrated UPI/bank payment links with invoice tracking

2. Product Goals & Non-Goals

2.1 Business Goals

Goal	Description	12-Month Target
G1 — Acquisition	Reach 10,000 registered users in 12 months post-launch via organic, CA referral, and digital channels	10,000 users
G2 — Conversion	Convert free-tier users to paid plans at a rate that validates willingness to pay for compliance automation	15% free-to-paid
G3 — Retention	Minimize churn by making the return filing loop sticky — users who file once through GSTEase should default back	85% monthly retention
G4 — Revenue	Achieve initial monthly recurring revenue through subscription tiers	₹15L MRR by month 12
G5 — NPS	Build trust in a category where trust is the primary purchase driver	NPS > 50 by Q4

2.2 Product Goals

- Reduce time-to-file a GST return from 2–4 hours to under 30 minutes for a non-accountant user
- Eliminate manual data entry for ITC reconciliation by auto-pulling government portal data
- Ensure 100% compliance with GSTN specifications for e-invoicing (IRN, QR code, schema validation)
- Provide actionable error feedback before submission — not after rejection from the portal
- Make the product usable without any prior GST knowledge beyond knowing your GSTIN

2.3 Explicit Non-Goals (v1.0)

The following are deliberately out of scope for the initial version. Scope creep in these areas will dilute focus and delay launch:

- Full double-entry accounting or bookkeeping
- Payroll, TDS/TCS management, or income tax filing
- Inventory management or POS integration
- Multi-GSTIN or multi-entity support (deferred to v2.0)
- B2B API integrations with ERP systems like SAP or Oracle
- CA/accountant multi-client dashboard (separate product line consideration)
- GSTR-9 (annual return) filing in v1.0

3. Target Users & Personas

GSTEase targets three distinct user segments. All three share a common profile: GST-registered, low transaction volume, limited accounting expertise, cost-sensitive, and time-poor.

Persona 1: Riya — Freelance Graphic Designer, Mumbai

Turnover: ₹18–25L/year | GST Rate: 18% | Invoices: 8–12/month

Pain points: Creates invoices in Canva/Word, forgets to add GSTIN on some, files returns late, pays penalties. Does not understand ITC. Has no CA — files returns herself using the GSTN portal which she finds confusing.

Goal: Just want to send professional invoices and stay compliant without spending hours on it every month.

Persona 2: Arvind — IT Consultant & Solopreneur, Bengaluru

Turnover: ₹60–90L/year | GST Rate: 18% | Invoices: 20–40/month

Pain points: Uses a CA who charges ₹5,000/month just for GST filing. Wants to reduce that cost. Has AWS, Zoho, and other software subscriptions — manually tracks ITC from each. Spends ~3 hours on GST every month.

Goal: Cut the CA cost, understand my ITC situation better, and stop worrying about mismatches.

Persona 3: Sunita — Owner, Small Retail Business, Jaipur

Turnover: ₹3–5Cr/year | Mix of B2B and B2C | Invoices: 100–400/month

Pain points: e-invoice mandate applies to her. Her current Tally operator generates invoices but does not reconcile ITC properly. She has received two GST notices in the past year for ITC mismatches. Budget is tight.

Goal: Stop getting notices. Know exactly what I owe before the due date.

4. User Stories

4.1 GST-Compliant Invoicing

ID	User Story	Acceptance Criteria
US-01	As a freelancer, I want to create a GST invoice in under 2 minutes so I can bill clients without formatting hassle.	Invoice generated with all mandatory GST fields; PDF downloadable; GSTIN validation on save
US-02	As a business owner eligible for e-invoicing, I want the system to auto-generate an IRN and embed a QR code so I remain compliant without touching the IRP portal.	IRN generated via IRP API call; QR code embedded in PDF per GSTN schema; retry logic on API failure
US-03	As a user, I want to create recurring invoices for retainer clients so I don't have to re-enter data every month.	Recurring invoice schedule configurable; auto-generated on set date; user notified before send
US-04	As a user, I want to see which invoices are paid, unpaid, or overdue in a single dashboard so I know my receivables at a glance.	Invoice list filterable by status; overdue invoices flagged with days overdue count
US-05	As a user, I want to add a UPI payment link or bank details to my invoice so clients can pay directly from the document.	Payment link embedded in PDF and email; payment status updated on webhook receipt

4.2 ITC Reconciliation

ID	User Story	Acceptance Criteria
US-06	As a user, I want the system to auto-fetch my GSTR-2B data from the GST portal so I don't have to download and upload Excel files manually.	GST portal OAuth or API integration; auto-pull triggered monthly; last-synced timestamp shown
US-07	As a user, I want to see a clear mismatch report between my purchase records and GSTR-2B so I know exactly which invoices have ITC issues.	Mismatch table shows: invoice number, supplier GSTIN, expected ITC, available ITC, difference
US-08	As a user, I want to accept or reject ITC claims in one click so I can reconcile without manually editing spreadsheets.	Accept/reject buttons per line item; bulk action available; changes reflected in liability calc
US-09	As a user, I want to be notified when a supplier has not filed their GSTR-1, causing my ITC to be at risk, so I can follow up proactively.	Alert triggered when supplier's GSTR-1 not filed by 11th; email/in-app notification sent

4.3 Return Filing

ID	User Story	Acceptance Criteria
US-10	As a user, I want to file GSTR-1 with a single guided flow that pre-fills data from my invoices so I don't have to enter the same data twice.	Invoice data auto-mapped to GSTR-1 tables B2B, B2C, credit notes; user reviews before submission
US-11	As a user, I want to see a preview of errors in my return before submission so I can fix them before they get rejected by the GSTN portal.	Pre-submission validation against GSTN schema; errors listed with field reference and fix suggestion
US-12	As a user, I want to file GSTR-3B after reviewing my auto-calculated tax liability so I know what I'm paying before hitting submit.	GSTR-3B pre-filled from GSTR-1 and ITC data; editable before final submission; liability breakdown shown
US-13	As a user, I want confirmation and an acknowledgment number after filing so I have proof of submission.	ARN shown on success screen; stored in filing history; downloadable PDF receipt

4.4 Liability & Payments

ID	User Story	Acceptance Criteria
US-14	As a user, I want to see my estimated GST liability for the current month in real time so I'm not surprised on the due date.	Live liability widget updated on each new invoice; breakdown by CGST/SGST/IGST; ITC offset shown
US-15	As a user, I want automatic reminders before GSTR-1 and GSTR-3B due dates so I never miss a filing deadline.	Reminders sent 7 days and 1 day before due date via email and SMS; dismissable in-app
US-16	As a user who has received a GST notice, I want a guided notice reply template so I can respond without hiring a CA for a simple clarification.	Notice type dropdown triggers relevant template; fields auto-filled from user and invoice data

5. Feature Specifications

Feature Module 1: Invoicing Engine

Priority: P0 — Core. Must ship at launch.

Feature	Description	Priority	Notes
GST Invoice Generator	Create B2B/B2C invoices with all mandatory fields: GSTIN, HSN/SAC, tax rate, IGST/CGST/SGST auto-split by supply type	P0	State detection for IGST vs CGST/SGST
e-Invoice / IRN Generation	Auto-call IRP API to generate IRN, receive signed JSON, embed QR code per GSTN spec for eligible taxpayers	P0	Threshold: ₹5Cr+ currently
PDF Export & Email Delivery	Professional PDF with logo, payment terms, GST summary; send via email with tracking pixel	P0	Custom branding on paid tier
Invoice Templates	3–5 pre-designed templates; custom logo upload; color customization	P1	Default template free; custom on paid
Recurring Invoice Scheduler	Set frequency (weekly/monthly), auto-generate and optionally auto-send; configurable per client	P1	
Credit Note / Debit Note	Issue CN/DN against existing invoices; reflected in GSTR-1 automatically	P1	Required for B2B corrections
HSN/SAC Code Search	Search and autofill HSN/SAC codes with tax rate suggestion based on goods/service description	P0	Built-in lookup table
Multi-currency Invoicing	USD/EUR/GBP invoices with INR GST calculation at RBI rate; useful for export freelancers	P2	Deferred if complex

Feature Module 2: ITC Reconciliation Dashboard

Priority: P0 — Key differentiator. Most competitors do this poorly.

Feature	Description	Priority	Notes
GSTR-2B Auto-Pull	OAuth-based pull from GST portal; fetch GSTR-2B monthly; parse and store line items	P0	OAuth2 via GSTN sandbox/prod API

Feature	Description	Priority	Notes
IMS Data Integration	Pull Invoice Management System data for real-time accept/reject actions	P0	IMS launched Oct 2024; critical for accuracy
Mismatch Detection Engine	Compare purchase entries vs GSTR-2B: flag missing invoices, amount mismatches, GSTIN errors	P0	Tolerance threshold configurable
One-Click Accept/Reject	Per-line-item and bulk action for IMS records; immediately updates ITC available figure	P0	Audit trail of all actions
Supplier Filing Status	Show which suppliers have not filed GSTR-1; flag ITC at-risk items; option to send reminder	P1	GSTN public API for supplier status
ITC Summary Widget	Total ITC available, claimed, pending reconciliation, and blocked — in a single card view	P0	Homepage/dashboard widget

Feature Module 3: Return Filing Assistance

Priority: P0 — Primary retention driver. Users who file through GSTEase are stickiest.

Feature	Description	Priority	Notes
GSTR-1 Guided Filing	Step-by-step wizard; auto-populate B2B, B2C, HSN summary, credit notes from invoice data; review screen before submit	P0	GSTN API for direct filing
GSTR-3B Guided Filing	Pre-fill from GSTR-1 and ITC reconciliation; show tax payable breakdown; submit via GSTN API	P0	Block submission if GSTR-1 not filed
Pre-submission Validation	Run GSTN schema checks before API call; surface field-level errors with plain-English fix suggestions	P0	Reduces rejection rate to near zero
Filing History	Full log of filed returns with ARN, date, period, status; downloadable acknowledgment PDF	P0	Required for compliance audit
Amended Return Support	GSTR-1A and 3B amendment flow for corrections post-filing	P1	Required for error correction

Feature Module 4: GST Liability & Payments

Priority: P0 for liability calculator; P1 for notice helper.

Feature	Description	Priority	Notes
Real-time Liability Calculator	Running total of output tax, ITC offset, and net payable; updated on every invoice save	P0	CGST/SGST/IGST breakdown
Due Date Reminders	Email + SMS + in-app alerts at 7-day and 1-day marks for GSTR-1, GSTR-3B, and payment deadlines	P0	Configurable by user
Late Fee & Interest Calculator	Auto-calculate late fee (₹50/day up to ₹5,000) and 18% interest for missed deadlines; show alert if filing is late	P1	Adds urgency to reminders
Notice Reply Helper	Template library for common GST notices (ASMT-10, DRC-01, etc.); auto-fill user data; export as Word/PDF	P1	Not legal advice disclaimer required
PMT-06 Challan Generation	Generate GST payment challan with pre-filled amounts for CGST/SGST/IGST/Cess; redirect to GST portal	P0	Cannot process actual payment; redirect model

Feature Module 5: Payment Links & Invoice Tracking

Priority: P1 — Increases product stickiness and daily active usage.

Feature	Description	Priority	Notes
UPI Payment Link Generator	Generate UPI deeplink (pa=VPAGSTIN&am=AMOUNT) and QR; embed in invoice PDF and email	P1	No payment processing fee — just link generation
Bank Transfer Details	Add saved bank account details to invoice footer; pre-filled NEFT/RTGS format	P1	Static display; no processing
Payment Status Tracking	Mark invoices as paid manually or via webhook from payment gateway integration	P1	Razorpay/Cashfree webhook in P2
Accounts Receivable Dashboard	Summary: total outstanding, overdue by aging bucket (0–30, 31–60, 60+ days), top overdue clients	P1	Simple aging report
Payment Reminder Emails	Automated client-facing email reminders at due date and 7 days post-due; customizable message	P2	Requires email sending infrastructure

6. Technical & Compliance Requirements

6.1 GSTN API Integrations Required

API / System	Purpose	Auth Method
IRP (Invoice Registration Portal)	IRN generation, signed e-invoice JSON, QR code	GSP credentials or direct API
GSTN Returns API	GSTR-1 and GSTR-3B filing, filing status check	EVC / DSC / OTP-based auth
GSTR-2B Fetch API	Pull monthly ITC statement for reconciliation	GSTN OAuth2 / user consent
IMS API	Fetch and update invoice management actions (accept/reject)	GSTN OAuth2
GSTN Public APIs	Taxpayer GSTIN validation, supplier filing status check	Public / API key

6.2 GSP (GST Suvidha Provider) Requirement

Direct GSTN API access requires the platform to integrate through an approved GSP. GSTEase must partner with a licensed GSP (e.g., Masters India, IRIS Business, Karvy Fintech) or apply for GSP license. This is a business-critical dependency with a 3–6 month lead time. This must be initiated before product development begins.

6.3 Core Technical Constraints

- All invoice data must be stored with AES-256 encryption at rest
- GSTN API tokens must be handled server-side only — never exposed to client
- IRN must be generated within 24 hours of invoice date to avoid cancellation penalty
- GSTR-1 JSON must conform exactly to GSTN schema version in force at time of filing — schema updates must be tracked and deployed proactively
- System must handle GSTN API downtime gracefully — queue IRN requests with retry; show clear status to user
- e-Invoice QR code must pass NIC's QR verification app scan before PDF is delivered to user

6.4 Infrastructure Requirements

Requirement	Specification
Uptime SLA	99.5% uptime, with 99.9% target on the 7th, 11th, and 20th of each month (peak filing dates)
Data Residency	All data stored on AWS ap-south-1 (Mumbai) or equivalent India-region cloud
Disaster Recovery	RPO: 1 hour, RTO: 4 hours; daily automated backups with weekly

Requirement	Specification
	restoration test
GSTN API Rate Limiting	Implement client-side throttle and queue to stay within GSTN-prescribed rate limits per GSTIN
Mobile Responsiveness	Full invoicing workflow usable on mobile browser; no native app required in v1.0

7. Pricing Architecture

Pricing must be low enough to displace the CA-for-filing use case (typically ₹2,000–₹5,000/month) while still converting. The free tier must be genuinely useful — not a crippled demo — to drive word-of-mouth adoption.

	Free (Starter)	Pro (₹499/mo)	Growth (₹999/mo)
Invoices/month	Up to 10	Unlimited	Unlimited
e-Invoice/IRN	Not included	Included	Included
ITC Reconciliation	Manual upload only	Auto-pull GSTR-2B	Auto-pull + IMS
Return Filing	GSTR-1 only	GSTR-1 + GSTR-3B	GSTR-1 + GSTR-3B + amendments
Notice Helper	Not included	3 templates	Full library
Payment Links	UPI only	UPI + bank details	UPI + bank + auto-reminders
Custom Branding	GSTEase logo on invoice	Custom logo	Full white-label PDF
Support	Email (48hr SLA)	Email (24hr SLA)	Priority chat support

Annual plans offered at 2 months free (effective 17% discount). CA/accountant referral program in roadmap for v1.1.

8. Success Metrics & KPIs

8.1 Acquisition & Activation Metrics

Metric	Month 3 Target	Month 6 Target	Month 12 Target
Registered users (cumulative)	1,500	4,500	10,000
Activated users (≥ 1 invoice created)	60% of registered	65%	70%
Time-to-first-invoice (median)	< 8 min	< 6 min	< 5 min
Free-to-paid conversion rate	8%	12%	15%

8.2 Engagement & Retention Metrics

Metric	Month 3 Target	Month 6 Target	Month 12 Target
Monthly active users / registered users	35%	45%	50%
Paid user monthly churn rate	< 8%	< 6%	< 5%
Returns filed via GSTEase (cumulative)	500	3,000	12,000
ITC reconciliation sessions per user/month	—	≥ 1 per paid user	≥ 1.5 per paid user

8.3 Quality & Compliance Metrics

Metric	Target
GSTN return rejection rate (GSTEase-filed returns)	< 2% (vs estimated 8–12% on direct portal filing)
IRN generation success rate (first attempt)	> 97%
GSTR-2B auto-pull success rate	> 95% of scheduled pulls succeed without user intervention
Support ticket rate for compliance errors	< 5% of MAU raise a compliance-related ticket

8.4 Revenue Metrics

Metric	Month 12 Target
Monthly Recurring Revenue (MRR)	₹15L+

Metric	Month 12 Target
Average Revenue Per Paid User (ARPU)	₹600–₹700/month (blended Pro + Growth)
Customer Acquisition Cost (CAC)	< ₹800 blended across channels
LTV:CAC Ratio	> 3:1 at 12-month LTV
Net Promoter Score (NPS)	> 50

9. Risks & Open Questions

9.1 Critical Risks

Risk	Description	Severity	Mitigation
GSP Partnership Delay	No GSP = no GSTN API access. This single dependency can block the entire product.	Critical	Initiate GSP partnership in month 1. Have a fallback: scraper-based GSTR-2B download as interim.
GSTN API Instability	GSTN portal has historically had downtime during peak filing periods (20th of month).	High	Async queue with retry; clear user status; never block user workflow on API response.
Regulatory Changes	GST rules, thresholds, and schema change frequently. e-invoice threshold dropped from ₹500Cr to ₹5Cr in 3 years.	High	Build schema versioning into the filing engine. Subscribe to GSTN circulars. Rapid deployment pipeline.
User Trust / Data Sensitivity	Users share GSTN credentials or link their portal account. Any breach = business-ending reputational damage.	Critical	Never store portal passwords. Use OAuth tokens only. SOC 2 compliance roadmap. Transparent privacy policy.
Competitor Response	ClearTax and Zoho can add a simplified tier targeting the same users at any time.	Medium	Speed to market and NPS moat. Deeper UX in the small business segment than generalist players.

9.2 Open Questions (Must Resolve Before Development)

- Will GSTEase apply for its own GSP license or partner with an existing GSP? (Decision deadline: Week 2)
- EVC vs DSC for return filing — which authentication method will be supported at launch? EVC is simpler for users; DSC is required for some categories.
- Will GSTR-2B auto-pull use screen-scraping or official API? Scraping violates GSTN terms and creates legal risk.
- What is the strategy for users below the e-invoice threshold (under ₹5Cr)? IRN generation is optional for them — should it still be offered?
- Is a mobile app planned for v1.5? If yes, does the v1.0 backend need to be API-first from day one?
- What data deletion policy applies when a user cancels their subscription? This affects compliance with IT Act provisions.

10. Phased Roadmap

Phase	Timeline	Key Deliverables	Exit Criteria
Phase 0 — Foundation	Month 1–2	GSP partnership, GSTN sandbox access, tech stack selection, UI/UX wireframes, GSTIN validation API	GSP agreement signed; sandbox credentials received
Phase 1 — Core MVP	Month 3–5	Invoice generator with IRN/QR, GSTR-1 filing, GSTR-3B filing, real-time liability calculator, basic ITC upload	100 beta users; < 2% rejection rate on filed returns
Phase 2 — Differentiation	Month 6–8	GSTR-2B auto-pull, IMS integration, one-click accept/reject, supplier filing status alerts, payment links, notice helper templates	500 paid users; NPS > 40
Phase 3 — Growth & Retention	Month 9–12	Payment gateway webhook, recurring invoices, amended returns, CA referral program, mobile-optimized flow, in-app onboarding tour	₹15L MRR; churn < 5%
Phase 4 — Scale (v2.0)	Month 13+	Multi-GSTIN support, GSTR-9 annual return, CA/accountant multi-client dashboard, ERP integrations	Defined by Phase 3 learnings

10.1 Launch Readiness Checklist

- GSP partnership agreement executed
- GSTN production API credentials received and tested
- IRN generation and QR code verified against NIC QR scanner
- GSTR-1 and GSTR-3B filing tested end-to-end in sandbox environment
- Security audit completed; GSTN credentials never logged or exposed
- Legal disclaimer added: platform is a filing assistant, not a CA — not liable for professional advice
- Privacy policy and data deletion flow live
- Beta tested with minimum 50 real GSTIN users across all 3 personas

Document Owner: Product Team | Next Review: Before Phase 1 kickoff | Questions: Route to product lead